

OFFICE OF THE SECRETARY
FEDERAL MARITIME COMMISSION

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Authority of Nueces County,
Texas

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BEFORE THE
FEDERAL MARITIME COMMISSION

Valero Refining-Texas, L.P.	)	
	)	
Complainant	)	
	)	
v.	)	FMC Docket No. 11-18
	)	
PORT OF CORPUS CHRISTI AUTHORITY	)	
OF NUECES COUNTY, TEXAS	)	
	)	
Respondent	)	

MOTION TO DISMISS COMPLAINT

Respondent, Port of Corpus Christi Authority of Nueces County, Texas (the "Respondent", "Port" or "Corpus Christi"), pursuant to 46 CFR §502.73, respectfully submits this Motion to Dismiss with respect to the Complaint filed by Complainant Valero Refining-Texas L.P. ("Valero" or "Complainant"). It is Respondent's belief that this Motion is an effective and inexpensive means to immediately resolve the Complaint in this proceeding.

I. STATEMENT OF ISSUES PRESENTED

1. Whether the Complaint should be dismissed because under the Eleventh Amendment to the Constitution the Port has sovereign immunity and is not subject to private suits as decided in Pillsbury Company, Inc. v. The Port of Corpus Christi Authority, 66 F.3rd 103 (5th Cir. 1995), cert. denied, 517 U.S. 1203, 116 S. Ct. 1705 (1996)?
2. Whether the Complaint should be dismissed because the Port is not a "marine terminal operator" as defined in the Shipping Act of 1984, as amended, because the Port does not provide any services in connection with common carriers and therefore the Federal Maritime Commission ("FMC") lacks personal and subject matter jurisdiction over the Port?

3. Whether the Complaint should be dismissed because the Commission has no personal or subject matter jurisdiction over Port activities relating to the wharfage and other charges at the Port's public oil docks or with respect to rental charges at the private oil docks as no common carriers call at these facilities?

4. Whether the Commission can under any set of facts set forth in the Complaint grant reparations to Valero because the Commission has no power to set rates and charges for marine terminals and, assuming, *arguendo*, that the FMC could determine that the Port's wharfage charge at the public oil docks is unreasonable, the FMC does not have statutory authority or power to determine what would be a reasonable wharfage rate for bulk liquid cargoes?

5. Whether the Shipping Act as a matter of law requires the Complainant to show that its alleged unreasonable prejudice and disadvantage was in relation to an undue or unreasonable preference and advantage to another refiner using public or private oil docks in the Port? In short, must the Complainant plead and prove not only that that it was unreasonably prejudiced and disadvantaged, but also plead and prove that there was a preferred competitor? Under no set of facts in the Complaint can it be assumed or concluded that Complainant paid wharfage at a rate other than the rate charged all other users of the public oil docks.

6. Whether the Complaint should be dismissed as to the private oil dock since the charge by the Port to Valero is merely rent for certain rights obtained by Complainant under the franchise agreement, and the Commission has no jurisdiction over commercial real estate transactions?

II. STANDARDS FOR MOTIONS TO DISMISS

The general standards for a motion to dismiss a complaint are stated in McKenna Trucking Co., Inc. v. A.P. Moller-Maersk Line and Maersk Inc., 27 SRR 1045, 1054 (ALJ 1997):

“Motions to dismiss, like motions for summary judgment, can bring proceedings to a prompt conclusion without extended litigation. Unlike motions for summary judgment, motions to dismiss are directed primarily to the pleadings and not to underlying affidavits and similar

documents, although exhibits attached to the complaint maybe considered. See 5A Wright & Miller, *Federal Practice and Procedure* (1990) §1357 at 299. As with motions for summary judgment, inferences and doubts are construed in favor of the nonmovant party, i.e., the complainant. However, if it appears primarily from reading a complaint that complainant could be granted no relief under applicable law under any set of facts that complainant could prove consistent with complainant's allegations, the complaint must be dismissed. *Id.* §1357 at 303."

See also, Cargo One, Inc. v. COSCO Container Lines Co., Ltd., 28 SRR 1635, 1642 (FMC 2000)

The guiding principles for motions to dismiss are articulated in two recent Supreme Court cases: Bell Atl. Corp. v Twombly, 550 U.S. 544, 555 (2007) ("Twombly") and Ashcroft v. Iqbal, 556 U.S. 662, 129 S. Ct. 1937, 1949 (2009) ("Iqbal").¹

The Court noted in Iqbal:

As the Court held in *Twombly*, 550 U. S. 544, the pleading standard Rule 8 announces does not require "detailed factual allegations," but it demands more than an unadorned, the-defendant-unlawfully harmed-me accusation. *Id.*, at 555 (citing *Papasan v. Allain*, 478 U. S. 265, 286 (1986)). A pleading that offers "labels and conclusions" or "a formulaic recitation of the elements of a cause of action will not do." 550 U. S., at 555. Nor does a complaint suffice if it tenders "naked assertion[s]" devoid of "further factual enhancement." *Id.*, at 557, 556 U.S. at ___, 129 S. Ct. at 1949

A complaint must contain "either direct or inferential allegations respecting all the material elements to sustain recovery under some viable legal theory." League of United Latin Am. Citizens v. Bredesen, 500 F.3rd 523, 527 (6th Cir. 2007) citing Twombly, 550 U.S. at 562. Without a viable legal theory, a complaint fails as a matter of law. See, Id.

¹ Twombly and Iqbal together have made it clear that the "any set of facts" standard which would require denial of a Motion to Dismiss, unless it could be shown that the Complaint could not succeed under any set of facts, is no longer the applicable standard. See, Iqbal at 1944, 1949.

Moreover, as noted in Iqbal, at 1950, the Twombly opinion of the Court made it clear that conclusory allegations of violations of law were not viable legal theories:

[T]he plaintiffs' assertion of an unlawful agreement was a 'legal conclusion' and, as such, was not entitled to the assumption of truth. Twombly, at 555.

This is important with respect to the Valero Complaint when it asserts that the Port services common carriers. Whether an entity is a common carrier under the Shipping Act is, ultimately, a "legal conclusion" and it is not entitled to the assumption of truth.

Beyond the pleadings themselves, a court (and therefore a federal administrative agency) may take judicial or official notice of matters of public records in accordance with Federal Rule of Evidence 201 without converting the motion to dismiss to a motion for summary judgment. Lee v. City of Los Angeles, 250 F.3rd 668, 688-689 (9th Cir. 2001). Courts and agencies may also take judicial notice of documents outside of the complaint that are capable of accurate and ready determination by resort to sources whose accuracy cannot reasonably be questioned. Fed. R. Evid. 201(d); Wietschner v. Monterey Pasta Co., 294 F. Supp. 2d 1117, 1109 (N.D.. Cal. 2003).

Most importantly, for motions to dismiss as to personal and subject matter jurisdiction, such as the instant motion, the moving party may submit affidavits or any other evidence properly before the court or agency. It then becomes necessary for the party opposing the motion to present affidavits or any other evidence necessary to satisfy its burden of establishing that the court or agency, in fact, possesses jurisdiction. Thompson v. Chrysler Motors Corp., 755 F.2d 1162, 1165 (5th Cir. 1985) (when resolving a motion to dismiss for lack of personal jurisdiction a court may determine the jurisdictional issue by receiving affidavits and other factual statements and need not accept as true any allegations in plaintiff's complaint that are controverted by affidavits). See also, St. Clair v. City of Chico, 880 F.2d 199, 201 (9th Cir. 1989); Kokkonen v. Guardian Life Ins. Co. of America, 511 U.S. 375, 377 (1994).

The Port's Motion to Dismiss is based on the simple premise that Complainant here faces insurmountable jurisdictional barriers to making a successful claim. First, the Commission lacks personal jurisdiction because the Port has sovereign immunity from a private complaint at the FMC under the Eleventh Amendment to the Constitution. Second, the FMC lacks both personal and

subject matter jurisdiction to apply the Shipping Act of 1984, as amended, either to the Port generally or to the Port's activities at the public and private oil dock facilities at issue or to the wharfage charges at the public oil docks or the rent at the private oil dock because the Port is not a marine terminal operator, generally or with respect to the public or private oil docks. Third, assuming *arguendo*, that the Complainant can overcome these extensive personal and subject matter jurisdictional issues, the Commission is without jurisdiction to award reparations to Complainant because the Commission would have to find (a) that the wharfage charge at the public oil docks or the rent at the private Valero oil dock was unjust and unreasonable and then (b) establish what would be a just and reasonable rate. The Shipping Act of 1984 does not authorize the Commission to set rates for carriers or marine terminal operators. The Commission simply does not have the authority or jurisdiction to provide the relief that the Complaint requests: namely, to set and apply a different wharfage rate than the one in the Port tariff or a different rental rate than the one agreed upon for Valero's private oil dock, and even if the Commission could set such rates the Complaint on its face does not meet the necessary statutory tests. Finally, the Commission has no jurisdiction over what is charged by the Port under its franchise agreements because what is charged is, by agreement, rent for certain real property rights, and the FMC is without authority over such commercial real estate arrangements.

While challenges to jurisdiction may be raised at any time, when possible, the FMC should address jurisdictional issues before addressing the merits of a case. River Parishes Co., Inc. v. Ormet Primary Aluminum Corp., 28 SRR 751, 762 (FMC 1999) and cases cited therein.

The Valero Complaint therefore is an appropriate subject for dismissal at the outset of this proceeding.

III. STATEMENTS IN THE COMPLAINT AND FACTS FROM PUBLIC RECORDS

Complainant Valero is a limited partnership. Complaint at 2, Section I A. It is ultimately owned by Valero Energy Corp. See,

The Port is a political subdivision of the State of Texas. Complaint at 3, Section II A. It was created under Article 3, Section 52 of the Constitution and the General Laws of the State of Texas. On April 23, 1931, the Port was converted to a Navigation District operating under Article 16, Section 59 of the Constitution of the State of Texas. See, Meaney v. Nueces County Nav. Dist. No. 1 et al., 222 S.W. 2d 402 (Tex. Civ. App. 1949).

The Complaint alleges that Valero operates refineries at two locations along the Corpus Christi Ship Channel, including among its facilities Valero's private oil docks. Complaint at 4, Section IV A. Valero also alleges that by mutual real estate conveyances between the Port and Valero's predecessors in interest, Valero is required to enter into franchise agreements with the Port. Complaint at 4, Section IV D.

In fact, this is not as simple as Valero has alleged. First, Valero Refining-Texas, L.P. appears to have only one private oil dock in the Port of Corpus Christi, the the Valero barge terminal. Valero Refining Co., an entirely separate corporation, has the franchise agreement for Ship Dock Nos. 2 and 3.²

Second, many years ago, before Valero operated at the Port, in connection with the construction of the ship channels in the Port, the Port entered into mutual conveyances or cross-conveyances with the then owners of the upland tracts of land along the routes of the ship channels. Under these cross-conveyances the Port conveyed to the littoral landowners title to the submerged lands owned by the Port landward from the bulkhead line of the ship channel to be constructed by the Port. The bulkhead line was the line established by the Port as the building line out to which docks could be built and beyond which docks could not be built. In consideration of the property rights granted to them in the cross-conveyances, the littoral landowners conveyed to the Port all littoral and riparian rights belonging to or appertaining to their littoral tracts and the submerged lands. In each of these cross-conveyances, the landowner agreed not to use the submerged land conveyed to it by the Port for a business needing access to the ship channel without first obtaining a franchise from the Port to cross the bulkhead line of the channel upon reasonable conditions and rentals. In each cross-conveyance, the Port agreed to grant the littoral landowner a franchise for any purpose, except a railway terminal, granting the landowner the right of access to the channel over the channel's bulkhead line from the landowner's property with reasonable rentals and conditions for the protection of the of the Port and its tenants. Without any littoral or riparian rights, the landowners had no legal right to cross the bulkhead line until it had

² Since Valero Refining Co. is not a party in this proceeding, it would appear that Complainant lacks standing to raise any issues concerning the franchise agreement for Ship Dock Nos. 2 and 3.

received a franchise giving it the right to do so. In exchange for a franchise, each landowner agreed to pay rent to the Port, which rent was based upon the quantity of shipments made over the landowner's private dock, to be an amount equal to, or in some cases not greater than, fifty percent (50%) of the Port's then current tariff wharfage rate on the same type of cargo.^{3 4}

Third, separate and apart from the rent charged by the Port to Valero related to the Valero barge terminal private oil dock under the franchise agreement, the Port charges wharfage to Valero for Valero's use of the Port's public oil docks. Complaint at 5, Section IV C and F. Corpus Christi owns and operates 11 public oil docks with berths ranging from 246 feet to 1,000 feet with berth depths. up to 45 feet. The largest are designed to handle 100,000 DWT tankers.

www.portofcorpuschristi.com/facilities/terminal-bulk-docks.html

Fourth, both the private and public oil dock facilities within the Port are served exclusively by tankers or oil barges to move crude oil and a wide variety of petroleum and petrochemical products through pipelines that are on the docks, and run to and from these docks. The docks are incapable of handling general cargo because of the presence of the pipelines and in fact no vessels call at the oil docks other than liquid bulk vessels. See, Declaration of John P. LaRue, Attachment B to this Motion. A picture of a typical oil dock in the Port of Corpus Christi, and a general description of the vessels that call at such facilities, can be found on the Port's web site at

www.portofcorpuschristi.com/facilities/terminal-bulk-docks.html

Detailed descriptions of the Valero barge terminal and Valero Refining Company's Ship Dock Nos. 2 and 3, showing that they can only handle tankers and/or barges, also can be found at

www.portofcorpuschristi.com/facilities/terminal-bulk-docks.html

³For the benefit of the Administrative Law Judge and Valero counsel, rather than require a search of the Port public records, a copy of the franchise agreement for Valero's barge terminal private oil dock is attached hereto as Attachment A. The franchise agreement contains a section for the payment of "rentals" for the rights and benefits received.

⁴The franchise agreement is not subject to FMC jurisdiction under 46 USC 40301(b) because the Port is not a marine terminal operator and Valero is not an ocean common carrier.

and Valero Refining Co., Inc. v. The Port of Corpus Christi Authority, 2008 WL 1111111 (S.D. Tex. 1/1/08).

The Complaint alleges violations by the Port of the Shipping Act, 46 U.S.C. §§ 41102(c), 41106(2) and (3) alleging that the Port has (a) subjected Complainant to an undue or unreasonable prejudice or disadvantage; (b) granted an undue preference or advantage with respect to users of the Port's non-liquid bulk facilities; (c) failed to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with the receiving, handling, storing or delivering of property; and (d) unreasonably refused to deal or negotiate with Complainant regarding a modification of the alleged unreasonable rates and charges. Complaint at 2, Preamble. As shown below, assuming arguendo the truth of the allegations, the FMC does not have either personal or subject matter jurisdiction over the Port or over the services rendered by the Port to Valero's facilities, oil tankers and barges.

IV. THE ELEVENTH AMENDMENT TO THE UNITED STATES CONSTITUTION IMMUNIZES THE PORT FROM PRIVATE SUIT BEFORE THE FMC

In Meaney v. Nueces County Nav. Dist. No. 1 et al., 222 S.W. 2d 402 (Tex. Civ. App. 1949), the Texas Court of Appeals stated.

"The Port is a Navigation District being a governmental agency and body politic incorporated with governmental powers and existing under the laws of Texas. Its boundaries extend to and include all of Nueces County. After an election on October 31, 1922, it was created under Article 3, Section 52 of the Constitution and the General Laws of the State of Texas, Vernon's Ann. St. On April 23, 1931, Appellee was duly converted to a Navigation District operating under Article 16, Section 59 of the Constitution of the State of Texas (Conservation and Reclamation) and the laws applicable thereto and so exists today."

Conclusive on the issue of sovereign immunity, both federal and Texas state courts have found the Port to be protected by sovereign immunity against private suits. No court, federal or state, has found to the contrary. In Pillsbury Company, Inc. v. The Port of Corpus Christi Authority, 66 F.3d 103 (5th Cir.

1995), cert. denied, 517 U.S. 1203 (1996), the U.S. Court of Appeals for the Fifth Circuit unequivocally stated:

“The district court’s finding that the Corpus Port is legally and factually indistinguishable from the Port of Houston Authority (‘Houston Port’) is unassailed in this appeal. Accordingly, we are bound by our decision in *Kamani v. Port of Houston Authority*, in which we upheld an earlier decision finding the Houston Port ‘a creature of state law and a political subdivision of the State of Texas’ entitled to Eleventh Amendment immunity. *Id.* at 613 (quoting *McCrea v. Harris County Houston Ship Channel Navigation Dist.*, 423 F.2d 605, 607 (5th Cir.), cert. denied, 400 U.S. 927, 91 S.Ct. 189, 27 L.Ed. 2d 186 (1970)). Therefore, we find that the Corpus Port, like the Houston Port, is entitled to Eleventh Amendment immunity.”

[footnote omitted].

The Fifth Circuit did not stop there. First, it rejected the applicability of the Supreme Court decision in Hess v. Port. Auth. Trans-Hudson Corp., 513 U.S. 30, 48 (1994) to the Port stating:

“[b]ecause the Corpus Port and the Houston Port were both created and still operate pursuant to Article XVI, Section 59 of the Texas constitution, Hess does not overrule *Kamani* or control the disposition here.” 66 F.3rd at 103.

Further, the court proceeded to apply a six part test for sovereign immunity which had been applied in another case, Jacintoport Corp. v. Greater Baton Rouge Port Commission, 762 F.2d 435 (5th Cir. 1985) (financial independence, autonomy, status under state law, whether the agency has express authority to sue and be sued in its corporate name, whether the agency has been granted to right to hold and use property, and whether the agency is primarily concerned with local, as opposed to statewide problems) and found that the tests weighed in favor of immunity:

“Even were we to determine that the application of the Jacintoport six-part test for determining Eleventh Amendment immunity is appropriate in this case, we would conclude upon the application of the Jacintoport test that the Corpus Port is entitled to such immunity.”

Id. at 104, fn. 5.⁵

The rejection by the Fifth Circuit of the application of the standards in Hess v. Port. Auth. Trans-Hudson Corp., to the status of the Port in the instant case, followed by a denial of a writ of certiorari, is important because the FMC has in other sovereign immunity cases utilized the Hess standards to make a determination of immunity. See, e.g., Carolina Marine Handling, Inc. v. South Carolina State Ports Authority, et al., 30 SRR 1017, 1029 (FMC 2006) (Citing to Hess, the Commission states that the Supreme Court has developed “broad factors that must be analyzed in order to reach a determination of whether an entity is an arm of the state.”). However even the Commission has realized that the lower courts can have a “particular standard [which] varies somewhat from circuit to circuit.” *Id.* at 1029. The use of the Hess rationale is not relevant or necessary when there have already been Federal and state determinations that the Port of Corpus Christi has sovereign immunity.⁶

⁵ Valero will undoubtedly state in response that the 5th Circuit decision in Southwestern Bell Telephone Company v. El Paso County Water Improvement District No. 1, 243 F.3d 936 (5th Cir. 2001) casts doubt on the findings of Pillsbury, *supra*. Southwestern Bell, while critical of Pillsbury, does not and cannot overrule Pillsbury which remains the seminal and controlling case as to the status of the Port of Corpus Christi under the Eleventh Amendment. Indeed, Pillsbury has been cited as precedent in at least six other federal court cases. See, Ysleta Del Sur Pueblo v. El Paso County Water Improvement Dist. No. 1, 222 F.3d 208 (5th Cir. 2000); Vogt v. Bd. Of Commissioners of Orleans Levee District, 294 F.3d 684 (5th Cir. 2002); Vital Health Care, Inc. v. Horn, 2008 U.S. Dist. LEXIS 94778 (S.D. TX); Bisong v. University of Houston, 2006 U.S. Dist. LEXIS 58346 (S.D. TX) ; Lang v. Orleans Levee District, 1998 U.S. Dist. LEXIS 6842 (E.D. LA.); Stecyk v. Bell Helicopter Textron, 1998 U.S. Dist. LEXIS 44 (E.D. PA).

⁶ The Hess rationale also has been rejected by a U.S. District Court in Texas in an attempted application to a Texas water district. Celanese Corporation v. Coastal Water Authority, et al., 475 F.Supp. 2d 623 (S.D. Tex. 2007). In finding for sovereign immunity the court stated: “The Hess decision does not establish a blanket rule that a financially self-sufficient entity cannot qualify for Eleventh Amendment immunity.” *Id.* at 633. See also, Vogt v. Board Of Commissioners Of Orleans Levee District, 294 F.3d 684, 689 at n. 2 (5th Cir. 2002) (citing Pillsbury as establishing a Fifth Circuit position that Hess is not applicable where the defendant is a single-state entity and not a bi-state creation but notes Supreme Court may not agree.) and Federal Maritime Commission v. South Carolina State Ports Authority, 535 US 743, 765(2002) (Hess effort to afford significance to factor of damages potentially accessing state treasuries

The U.S. Fifth Circuit Court of Appeals also has held that

“in determining immunity under the Eleventh Amendment, a factor that ‘subsumes all others’ is the treatment of the entity in state courts. Huber, Hunt & Nichols v. Architectural Stone Co., 5 Cir. 1980, 625.” Jacintoport, supra at 438.

Under the laws and decisions of the State of Texas and its courts the Port has “immunity from suit” under the doctrine of sovereign immunity except in cases for which the legislature has expressly waived the immunity. No such waiver has been given under our facts.

In KCS v. Port of Corpus Christi Authority, 305 S.W.3d 296 (Tex. 2009) the Texas Court of Appeals affirmed a lower court ruling that the Port of Corpus Christi has sovereign immunity and cannot be required to arbitrate a dispute with the Kansas City Southern Railroad. The court noted:

In Texas, sovereign immunity has two components: (1) immunity from liability, which bars enforcement of a judgment against a governmental entity, and (2) immunity from suit, which bars suit against the entity altogether. Tooke v. City of Mexia, 197 S.W.3d 325, 332 (Tex. 2006).

The court noted that the decision on whether the Port has sovereign immunity and did not have to engage in the arbitration was a decision that could be made by the state court and did not have to be decided in the arbitration. The state court, like the Fifth Circuit U.S. Court of Appeals, found immunity from private suit for the Port of Corpus Christi.

As the Supreme Court of the United States stated in Federal Maritime Commission v. South Carolina State Ports Authority, supra at n.6, 760 (2002), the sovereign immunity bars not only the courts but also federal agencies such as the Federal Maritime Commission from adjudicating private complaints against non-consenting states or arms of states such as ports. See also, Puerto Rico Ports Authority v. Federal Maritime Commission, 531 F3d 868 [31 SRR 400, 407] (D.C. Cir. 2008).

misses point that the central purpose of the sovereign immunity doctrine is to “accord the States the respect owed them as joint sovereigns.” The FMC is barred from jurisdiction even where no reparations are sought by the private party.)

The Port of Corpus Christi has sovereign immunity under the Eleventh Amendment and under the law of the State of Texas from the Valero Complaint before the FMC and therefore the FMC lacks jurisdiction to accept and hear a private suit against the Port.

V. THE COMMISSION HAS NO JURISDICTION OVER THE PORT BECAUSE THE PORT IS NOT A MARINE TERMINAL OPERATOR UNDER THE SHIPPING ACT OF 1984, AS AMENDED

It is a fundamental principle of law that an administrative agency is not a court of general jurisdiction but operates under jurisdiction limited by the statute which it administers. F.M.C. v. Seatrain Lines, Inc., et al., 411 U.S. 726, 745 (1973). As the Commission succinctly put it in American Union Transport v. River Plate & Brazil Conferences, 5 F.M.B. 216, 224 (1957):

[W]e wish to point out that this agency's jurisdiction is as set out in statute, and we cannot, by our own act or omission, enlarge or divest ourselves of that statutory jurisdiction.

In order for the FMC to have personal jurisdiction over the Port of Corpus Christi, the Port must be proven to be a "marine terminal operator" as that term is defined at 46 USC 40102(14):

(14) MARINE TERMINAL OPERATOR.—The term "marine terminal operator" means a person engaged in the United States in the business of providing wharfage, dock, warehouse, or other terminal facilities in connection with a common carrier, or in connection with a common carrier and a water carrier subject to subchapter II of chapter 135 of title 49. (Emphasis added.)

Since a marine terminal operator must serve common carriers, the definition of "common carrier" as set forth in the Shipping Act of 1984, 46 USC 40102(6), becomes important:

(6) COMMON CARRIER.—The term "common carrier"—

(A) means a person that—

(i) holds itself out to the general public to provide transportation by water of passengers or cargo between the United States and a foreign country for compensation;

(ii) assumes responsibility for the transportation from the port or point of receipt to the port or point of destination; and

(iii) uses, for all or part of that transportation, a vessel operating on the high seas or the Great Lakes between a port in the United States and a port in a foreign country; but

(B) does not include a carrier engaged in ocean transportation by ferry boat, ocean tramp, or chemical parcel-tanker, or by vessel when primarily engaged in the carriage of perishable agricultural commodities—

(i) if the carrier and the owner of those commodities are wholly-owned, directly or indirectly, by a person primarily engaged in the marketing and distribution of those commodities; and

(ii) only with respect to the carriage of those commodities.

(Emphasis added.)

Whether the Port is a marine terminal operator and whether “common carriers” serve the Port are legal questions, and under the Twombly decision the allegations in the Complaint as to the status of the Port are legal conclusions and are not entitled to the “assumption of truth.” Twombly, at 555.

It is well understood from the case law that one way to distinguish “common carriers” from “ocean tramps” is that tramp vessel owners do not operate vessels that provide liner services that operate on regular routes and schedules which liner service is an indicia of a “common carrier”. See, Tariff Filing Practices, Etc., of Containerships, Inc., 6 SRR 483 (FMC 1965). The fact that the term “common carrier” excludes “ocean tramp” vessels provides clear evidence that tramp vessels can be distinguished by contrasting them with a liner operator.⁷ It also is true, and fatal to the claims of Valero, that Section 10

⁷The U.S. Bureau of Labor Standards provides a good comparison between liner vessels and tramp vessels:

Ocean liner vessels operate by definition via regular schedules. **They differ from tramp and tanker ocean shipping services in that these latter vessels operate irregular schedules determined by negotiation between shipper and ship owner** and generally carry bulk goods and liquid commodities, respectively. BLS only measures inbound container loads.” (Emphasis added.)

of the Shipping Act of 1984, as amended, which contains the prohibited acts provisions on which Valero relies to charge the Port with alleged violations, specifically excludes ocean tramps from its coverage. As stated in the legislative history of Senate Report No. 99-284 (99th Cong. 2d Sess., April 22, 1986) as to H.R. 739, which was enacted as P.L. 99-307, Miscellaneous Changes to Laws Affecting the Coast Guard, and contained provisions to make the definition of "common carrier" crystal clear:

The provisions of H.R. 739 also remedy a drafting problem in the Shipping Act of 1984 relating to ferryboats and ocean tramps. The definition of 'ocean common carrier' in Section 3(18) of the Act states that the term does not include such vessels. The provisions of the Act such as those of Section 10 proscribing prohibited acts, however, apply to the the more inclusive class of "common carriers" and not only to "ocean common carriers." The legislation explicitly excludes ferryboats and ocean tramps from the definition of 'common carrier,' thereby resolving any uncertainty as to whether the provisions of the act governing 'common carriers' are applicable to activities involving those vessels.

U.S. Cong. And Adm. News, Vol. 4, 99th Cong. 2nd Sess. 1986 at 1319.

While Valero alleges in its Complaint, Paragraph II.C that certain named entities are common carriers that serve the Port of Corpus Christi,⁸ not one of the carriers named by Valero provides common carrier service to the Port of Corpus Christi. The Declaration of Captain Anthony Alejandro, who is the Director of Operations and Harbormaster at the Port of Corpus Christi, Attachment C hereto, provides clear and accurate information that supports the conclusion that the Port does not have any common carrier service.

As Captain Alejandro declares: liquid petroleum cargoes moving in tankers and barges make up approximately 85% of the Port's total cargo throughput. An additional 12% to 15% is made up of dry bulk cargoes moving in dry bulk vessels. The remainder, less than one percent, of the vessels that call at the Port's general cargo docks, call at the Port on a sporadic basis, generally only discharging non-containerized breakbulk cargo constituting a single

Said another way, in liner shipping the carrier establishes the ports of call; in tramp shipping the cargo interest makes the determination.

⁸ They do not allege that any of these companies operate vessels that call at the public or private oil docks.

commodity for a single shipper/consignee. These vessels come to berth on a first come, first served basis. The fact that the vessels only discharge cargoes of a single commodity for a single shipper/consignee demonstrates that the vessels are not held out to the general public. See, Containerships, supra. Captain Alejandro's Declaration states that his staff has reviewed every vessel that has called at the Port's general cargo docks during the last three years and that he can find no discernible pattern of service that could be viewed as a regularly scheduled service at the Port to serve the general public. Captain Alejandro noted:

As far as I can ascertain, not one of the vessels that called at the Port was held out to the general public to load or discharge cargoes at the Port. I have not found any advertising of service to or from the Port in newspapers, the trade press or on the Internet. If the Port is mentioned on a vessel operator's website, like that of Industrial Maritime Carriers, it states Corpus Christi would be served "on inducement."

Captain Alejandro specifically looked at the companies named in Paragraph II.C of the Complaint and has noted the following in his Declaration:

Green Chartering AS or Green Reefers has had no vessels call at the Port of Corpus Christi in the three years prior to September 2, 2011.

SCM Lines – Transportes Maritimos LDA had two vessels that made five calls at the Port of Corpus Christi in the three years prior to the filing of the Complaint. On each call the vessel discharged cargoes of ceramic proppants for a single consignee and loaded no cargoes.

Grieg Star Shipping had thirteen calls during three years by eleven different vessels during the three years prior to September 2, 2011. Ten of the vessels discharged wind turbine components for a single consignee; the other three vessel calls discharged ceramic proppants for a single consignee. No cargo was loaded during these calls.

Westfal-Larsen Shipping had one vessel call in May, 2010. The vessel discharged wind turbine components for a single consignee.

Chinese-Polish Joint Stock Shipping Co. made a total of four calls during the three year period: one vessel discharged steel coils, another discharged project cargo and two discharged wind turbine components for a single consignee.

BBC Chartering and Logistics GmbH & Co. KG had 21 different vessels make 29 distinct calls at Corpus Christi at the general cargo docks in the three years prior to the filing of the Complaint by CITGO. With the exception of one vessel that loaded drilling rig parts from a single shipper, one vessel that loaded wind turbine components from a single shipper and two that loaded unspecified commodities for a single consignee, each BBC vessel discharged a single commodity for a single consignee. All 25 of these vessels calls discharged wind turbine components for a single consignee.

Industrial Maritime Carriers had nine vessels that made fifteen calls at Corpus Christi general cargo docks in the three years prior to September 2, 2011. With the exception of two vessel calls that loaded drill rig parts or project cargo for a single shipper, all other vessels discharged wind turbine components for the same consignee.

All of these vessels were provided berths on a first come, first served basis. All of the cargoes were break bulk cargoes. Vessels that discharged cargo did not load cargo during the call. Vessels that loaded cargo did not discharge cargo during the call. There was no service pattern or schedule to the vessel calls. I am unaware of any advertisements made for or on behalf of any of the companies alleged by Valero to be common carriers.

Captain Alejandro is unequivocal in his analysis that there are no "common carriers" serving the Port.

The fact that a company may register as a common carrier with the FMC and publish a tariff does not automatically make them a common carrier at the Port of Corpus Christi. There must be evidence of a common carrier service at the Port and there is absolutely no evidence of such a service. Rather, the vessels operate as ocean tramps.

Finally, we expect Valero will contend that since the Port is registered with the FMC as a marine terminal operator, this should be conclusive as to its status. We suggest that absent evidence of operation of the Port in connection with common carriers, that notwithstanding the Port's representation of marine terminal operator status, it is not a marine terminal operator. See, Petchem, Inc. v. Canaveral Port Authority, Et al., 23 SRR 974, 982-983 (FMC 1986) (Commission requires actual service by common carriers to obtain jurisdiction. If jurisdiction were to be found on the basis of tariff publication and solicitation

of common carriers, an explicit extension of existing precedent would be required).

The Executive Director of the Port, John LaRue has provided a declaration, Attachment B, that indicates that he has always desired to have common carrier service serving Corpus Christi and that Corpus Christi registered itself as a marine terminal operator in anticipation of developing such service at the Port. As Mr. LaRue notes in paragraphs 2 and 3 of his Declaration, his efforts to attract ocean common carrier service have not been successful:

Part of my responsibilities in the Port of Corpus Christi is to solicit and supervise the solicitation of new business for the Port. When I was the Executive Director of PRPA [the Philadelphia Regional Port Authority], PRPA was successful not only in maintaining but increasing common carrier services that carried fresh fruit from South America and New Zealand, frozen meats from Australia and other containerized cargoes to its marine terminals. PRPA also received calls from vessels carrying project cargoes, steel, forest products and other ocean tramp vessel inducement cargoes which have been and remain the mainstay cargoes at PRPA. I hoped to make the Port of Corpus Christi, in addition to its servicing of petroleum and other bulk cargoes, a niche port for containerized and breakbulk cargoes by bring similar cargoes to those shipped through PRPA to the Port of Corpus Christi. Despite my contacts and efforts, and the efforts of the Port staff, however, while the Port has been able to develop ocean tramp services to carry commodities such as wind turbine parts and proppants, the Port has not been able to attract any regularly scheduled vessel services that are held out to the general public.

The fact is that liquid and dry bulk cargoes constitute over 99% of all cargoes that move through the public and private docks in the Port of Corpus Christi. General cargo, mainly breakbulk and military cargo, represents approximately ½ of 1 percent of the cargoes moving into or out of the Port and the non-military breakbulk vessel calls are by ocean tramps who sporadically call at the Port to discharge a shipment or load a shipment.

The Port does not serve common carriers as defined under the Shipping Act of 1984, as amended, and is therefore not subject to the personal jurisdiction of the Commission in this matter.

VI. ASSUMING, ARGUENDO, THAT THE ADMINISTRATIVE LAW JUDGE CONCLUDES THAT THERE ARE COMMON CARRIERS CALLING AT THE PORT, THE OIL DOCKS UTILIZED BY VALERO DO NOT SERVE COMMON CARRIERS AND THE PORT IS NOT A MARINE TERMINAL OPERATOR WITH RESPECT TO THE PUBLIC AND PRIVATE OIL DOCKS

Not all activities of a marine terminal operator are subject to the FMC's jurisdiction. In Bethlehem Steel Corp. v. Indiana Port Commission, 21 F.M.C. 629, 632 (1979), affirmed *per curiam*, 642 F.2d 1215 (DC Cir. 1980), the FMC stated:

It does not follow that all of the Port's activities are subject to section 17 [the 1916 Act predecessor to section 10(d)(1) of the 1984 Act, 46 USC 41102] simply because the Port is a terminal operator or "other person" with respect to some of its practices and regulations.

This view was confirmed in Puerto Rico Ports Authority v. Federal Maritime Commission, 919 F.2d 1254 (1st Cir. 1990) (FMC has no jurisdiction over Puerto Rico Ports Authority in relation to its activities in the Port of Ponce although otherwise the Puerto Rico Ports Authority may be subject to FMC jurisdiction).

As previously noted, to be subject to the F.M.C.'s jurisdiction, one must be a "marine terminal operator" which Section 3(15) of the 1984 Act [46 USC §40102 (14)] defines as a person engaged in the United States in the business of furnishing wharfage, dock, warehouse, or other terminal facilities in connection with a common carrier (Emphasis added.)

There are numerous cases in which the F.M.C. has found itself without jurisdiction because the activity did not fit within the above definition. Most importantly because (like the Port's public and private oil docks) the facility did not serve common carriers by water. See, New Orleans Shipping Association v. Bunge Corp., 8 F.M.C. 687 (1965) (When facility ceased serving common carriers, it no longer was subject to F.M.C. jurisdiction); McAllister Bros. v. N & W Ry Co., 20 F.M.C. 62 (1977) (Terminal at the port handled bulk coal exclusively and served only non-common coal carriers).

Here there is no common carrier activity at either the public or private⁹ oil docks. As admitted by Valero in its Complaint, the purpose of the public and private oil docks is for “vessels carrying crude oil [to] call at both plants of Valero’s refinery for the purpose of discharging their cargoes.” Complaint at 2, Section I C. “The crude oil is refined into various petroleum products, and from there sold and distributed via pipeline and vessels to various buyers.” Complaint at 3, *Id.* In addition to the vessels calling at the Valero private oil dock, Valero further admits that it utilizes the Port’s public oil docks for “[V]essels carrying crude oil” Complaint at 4 Section IV B. The applicable Port tariff provision cited by Valero in the Complaint in charging Valero for the crude oil and petroleum products coming across the public oil docks is the one that “pertains to all liquid bulk cargo including but not limited to crude and refined petroleum, petroleum products, petrochemicals, chemicals and other bulk liquids except liquefied natural gas (LNG).” Complaint at 5, Section IV F.

There also are a number of other references to the charges to Valero in relation to the “public oil docks” and the “private oil docks” throughout the Complaint. Complaint at 6-7, Sections L, M, N, O. Valero is a “liquid bulk user” or one of the “oil users” of the Port in contrast to what it alleges are unreasonable preferences for the “non-oil facilities.” Complaint at 5, Section IV F, 7 at Section IV O, 11 at Section V G. The vessels calling at the oil dock terminals, from the description contained in the Port’s web site and from the descriptions of the Valero private dock facilities cited in the section of this Motion titled Statements In The Complaint And Facts From Public Records, are only tankers and barges.

Vessels designed to carry crude oil or petroleum products are not “common carriers” as defined in the 1984 Act. Those tankers and barges are not held out to the “general public to provide transportation” 46 USC § 40102(6)(A). Rather, tankers and barges are ocean tramp vessels which are excluded from the definition of a common carrier under the Shipping Act of

⁹ As previously noted, the private oil dock for which Valero has exclusive use and for which Valero pays rent on the basis of a percentage of the wharfage charges, is not only outside the Commission’s jurisdiction because the Port is not a marine terminal operator but also because the FMC has no jurisdiction over agreements between oil refiners and the Port that govern the private dock.

1984: "The term 'common carrier' . . . (B) does not include a carrier engaged in transportation by . . . ocean tramp" 46 USC § 40102(6).

The Fifth Circuit in U.S. v. Stephen Bros. Line, 384 F.2d 118, 124 n. 16 (5th Cir. 1967) cited the prevailing definition of a "tramp":

The Agency has emphasized the significance of multishipper cargo. A tramp 'is a carrier transporting on any one voyage cargo supplied by a single shipper only under a single charter party or contract of affreightment. The best example of such a carrier is the tanker. [Emphasis supplied]. The fact 'that ... vessels carried a variety of commodities for numerous shippers radically differentiates them from those coming within the definition (of an 'ocean tramp').

See also, Agreement No. 203-010633, 23 SRR 581 (I.D. 1985), Order of Discontinuance, 23 SRR 1408 (FMC 1986) in which the Commission held that an Agreement among bulk chemical companies could not be approved under the Shipping Act and granted antitrust immunity by the Commission because one of two owners and the third company formed to provide parcel tanker service to and from the U.S. were tramps, not common carriers, as they did not maintain a fixed schedule of sailings over regular routes between fixed terminals which were advertised in advance.

Moreover, the Port itself is not a marine terminal operator with respect to the private and public oil docks in serving tankers and barges at the public oil docks and providing services and benefits at the private oil dock. Perhaps the most analogous case to the instant matter was the First Circuit's decision in Puerto Rico Ports Authority v. Federal Maritime Commission, *supra*. The Municipality of Ponce, Puerto Rico, filed a complaint against the Puerto Rico Port Authority asserting that PRPA was a marine terminal operator under the 1984 Act because it imposed a service charge on the Port of Ponce. The Court concluded that PRPA was not a marine terminal operator and relied on a plain reading of the Shipping Act of 1984:

A plain reading of §§ 3(15) and 10(d)(1) of the 1984 Act demonstrates that Congress did not intend that PRPA's activities at Ponce be subject to regulation under the Shipping Acts. PRPA, under any plausible interpretation, is not in the 'business of furnishing wharfage, dock, warehouse or other terminal facilities in connection with a common carrier' at the Port of Ponce."

As the Court finds that the FMC does not have jurisdiction over this action, it need not further consider the application of primary jurisdiction. Id. at 282-83 (citations omitted and emphasis added).

These recent decisions plus the decisions cited by the Port at the beginning of this discussion in which the FMC lacked jurisdiction because the facilities did not service common carriers, are conclusive on the issue. The FMC does not have personal jurisdiction over the Port or subject matter jurisdiction over the private or public oil docks because no common carriers call at these facilities.

VII. THE COMMISSION HAS NO AUTHORITY TO SET WHARFAGE RATES. EVEN IF IT DID THERE IS NO ONE WHO IS UNREASONABLY PREFERRED OR DISADVANTAGED AS ALL USERS OF THE PUBLIC OIL DOCKS ARE CHARGED THE SAME WHARFAGE RATE. IF THE COMMISSION CANNOT SET WHARFAGE RATES, IT HAS NO BASIS UPON WHICH TO DETERMINE REPARATIONS

The Complaint is segmented into two parts: (a) a challenge to the wharfage rates and other charges at the Port's public oil docks and (b) a challenge to the level of the rent at the private oil dock operated by Valero within the Port. The issue of rent and the lack of Commission jurisdiction over rent charged in a commercial real estate transaction is addressed in the next section. Here, in relation to the public oil docks where wharfage is charged, in the Preamble on page 1 of the Complaint, Valero states that it "has been charged wharfage and other charges that are excessive and not reasonably related to the value of services rendered to Complainant" and at pages 9 and 10, Section V C "[t]hrough application of such [wharfage and other] charges, Valero has been forced to subsidize costs associated with services provided to other users of port facilities." Lastly, Valero seeks reparations for the alleged discrimination. Complaint at 11, Section VI.

However, the 1984 Act does not in any way purport to authorize the FMC to regulate and set wharfage rates at marine terminal facilities. Except with respect to controlled carriers in Section 9 of the Act, the Shipping Act of 1984, as amended, does not specifically or implicitly provide the FMC with authority to set or determine rates of any kind. The lack of FMC rate setting authority goes back to the 1916 Act. As stated by Administrative Law Judge Cogrove in Luigi Serra, Inc. v. Sea-Land Service, Inc., 20 SRR 625 (I.D. 1980) in a case in

which the shipper alleged that the rates charged by Sea-Land were unreasonable as they were 60% of the value of the goods in the containers:

“Any attempt to use the provisions of Section 16 to sustain an allegation that the rates of the carrier are unreasonable would be an attempt to have the Commission prescribe reasonable rates for foreign commerce, a power the Commission does not possess. Heavy Lift Practices and Charges of Hapag-Lloyd (17 SRR 505, Initial Decision adopted 18 SRR 1491).”

20 SRR at 627

The legislative history leading up to the 1984 Act confirms the same view. In House Report No. 98-53 [Part 2] (98th Cong., 1st Sess., July 1, 1983), SR 60:26, in discussing the history of maritime regulation, the Report stated:

“The power to approve agreements and grant antitrust immunity is the principal power of the FMC; in addition, the FMC can investigate specific violations of the Shipping Act; however, except for a seldom exercised power to disapprove rates found to be ‘so unreasonably high or low as to be detrimental to the commerce of the United States’ (46 USC §817), the FMC does not possess authority to set rates in foreign commerce.”

Part 1 of the same report (April 12, 1983) echoes the same thoughts at SR 60:90:

“The existing regulatory scheme requires all carriers serving our foreign trades to file their rates with the FMC and have them open for public inspection. Charging rates other than those in published tariffs, termed ‘rebating’, is prohibited. The Commission has no authority to determine the appropriate level of rates except that it may prohibit any that are ‘so high or so low as to be detrimental to the commerce of the United States.’” (Emphasis added.)

The focus on carriers was appropriate as there was considerable discussion, both during the 1916 Act and the enactment of the 1984 Act, as to whether marine terminals should be regulated at all. Even the power of the FMC to determine whether carrier rates were unreasonably high or low did not survive into the 1984 Act.

While the FMC can determine, assuming it had personal and subject matter jurisdiction, whether a marine terminal operator engaged in unjust or

unreasonable practices, and in making such determination could conclude that a wharfage charge was unjust or unreasonable, it does not follow that the FMC has the authority to determine what would be a reasonable charge.

Complainant has a second jurisdictional problem even in getting to whether a charge is unreasonable. Where, as here, the wharfage charge is the same for all users of the public oil docks, the FMC cannot find the charge unreasonable since the concept requires both a prejudiced and a preferred party, an impossibility when all similarly situated public oil dock users are charged an identical amount. As stated in Distribution Services Ltd. v. Trans-Pacific Freight Conference of Japan, 24 SRR 714, 720 (FMC 1988) in order to establish an allegation of an unreasonable preference or prejudice, it must be shown that (1) two parties are similarly situated or in a competitive relationship, (2) the parties were accorded different treatment, (3) the unequal treatment is not justified by differences in transportation factors, and (4) the resulting prejudice or disadvantage is the proximate cause of injury. Even for the limited exception to these rules accorded under Credit Practices of Sea-Land Service, Inc. and Nedlloyd Lijnen B.V., 25 SRR 1308, 1315 (FMC 1990) where "on its face [a rate] is advantageous to a particular group or class of shippers or description of traffic", Complainant's position lacks total merit as all oil dock users are charged the same. Port Tariff 100-A,

Complainant cannot be disadvantaged when its wharfage rate on its face is no greater than all others pay.

Complainant cannot show that it is being treated unreasonably and it cannot obtain from the Commission a determination of what would be a reasonable rate because the FMC has no power to make such a determination.

VIII. AT MINIMUM THE COMMISSION HAS NO JURISDICTION OVER THE PORT'S CHARGES APPLICABLE AT THE PRIVATE OIL DOCKS AS THEY ARE MERELY RENT FOR CERTAIN REAL PROPERTY RIGHTS OBTAINED BY COMPLAINANT FROM THE PORT

Even if the Commission is found to somehow have jurisdiction over the Port public and private oil docks despite no common carriers calling at those facilities, and even though the Eleventh Amendment to the Constitution bars a private action against the Port at the FMC, there is a third reason the FMC cannot assume jurisdiction over charges by the Port applicable to the private oil dock: they are charges pursuant to rights granted in real estate contracts.

As stated in the Complaint and other documents of which the Administrative Law Judge can take official notice, in connection with the construction of the

transportation in the foreign commerce of the United States.

The cross conveyances between the Port and the Complainant's predecessors are clearly outside the scope of the Commission's jurisdiction, as are the franchise agreements themselves. They do not set rates or otherwise fix or regulate conditions of service at the private oil docks. They also do not affect the vessels calling at the docks, or limit the cargo being transported over the docks. Finally the agreements do not regulate or prevent competition. The franchise agreements simply provide for the payment of rent for the real property rights granted therein.

CONCLUSION

The Port has shown that it is immune from suit under the Eleventh Amendment of the Constitution; that it has sovereign immunity under the laws of the State of Texas; that the Port is not a "marine terminal operator" with respect to any of the Port's public docks; that the Port is not a "marine terminal operator" with respect to the private oil dock; and that the Commission has no jurisdiction over the private oil dock franchise agreement; and that the FMC is without statutory authority to establish rates for carriers or marine terminal operators.

For the foregoing reasons, the Port of Corpus Christi respectfully requests that the Valero Complaint be dismissed with prejudice.

Respectfully submitted,

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Attorneys for:
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November 17, 2011

ATTACHMENT A

BARGE TERMINAL

FRANCHISE

PORT OF CORPUS CHRISTI AUTHORITY OF NUECES COUNTY, TEXAS TO VALERO REFINING – TEXAS, L.P.

SECTION 1 GRANT

Subject to the terms and conditions of this franchise, Port of Corpus Christi Authority of Nueces County, Texas ("Authority"), hereby grants to Valero Refining – Texas, L.P., a Texas limited partnership whose business address is One Valero Way, San Antonio, Texas, 78249, its successors and permitted assigns ("Grantee"), for the term specified in this Section 1, the right of access to the Corpus Christi Ship Channel ("Channel") from Grantee's Land (hereinafter defined) for all purposes necessary, proper or convenient in connection with the use and operation of its docks and dock facilities as now constructed or that may be hereafter constructed on Grantee's Land for the purpose of a general cargo business and for the shipping and receiving of oil and petroleum and the several refined and manufactured products thereof by Grantee for itself and for others (collectively, "Grantee's Business"). The term of this franchise shall begin on the Effective Date described in Section 10 of this franchise and shall end on October 20, 2020. "Grantee's Land" is that certain 7.03 acres of land situated in Nueces County, Texas, which is shown on the Authority's Boundary Map attached hereto as Exhibit A and incorporated herein by reference, and being the same 7.03 acres of land conveyed to Elizabeth Prior Roark by the Nueces County Navigation District No. 1 by that certain Mutual Conveyance described in Section 7 of this franchise.

SECTION 2 ACCESS TO CHANNEL

The Authority has established the south bulkhead line of the Channel, which is the line beyond which no structure may be built, and this line as it may be changed from time to time by the Authority is referred to herein as the "South Bulkhead Line." The northerly boundary line of Grantee's Land is the South Bulkhead Line. Grantee may cross the South Bulkhead Line (where it is adjacent to Grantee's Land) to access the Channel from Grantee's Land and may operate, and continue the operation of, its docks and dock facilities now on Grantee's Land, with such additions, alterations, enlargements or new structures or facilities as Grantee may require and construct in the conduct of Grantee's Business. Grantee may not construct any improvements on the Channel side of the South Bulkhead Line.

SECTION 3 RENTALS

For the rights granted to it hereunder, Grantee shall pay to the Authority a rental, based upon all property moving over, and to or from, docks on Grantee's Land, as follows:

- A. **General Cargo Business.** For all property transported by a general cargo business (and by "general cargo business" is meant a business handling the shipment by water of any property or commodity owned by a party, or being purchased or sold by a party, other than the holder of this franchise or one of its affiliates) a rental based upon the quantity of shipments made and to be equal to fifty percent (50%) of the then current tariff wharfage rate of the Authority on the same type of property or commodity;
- B. **Other Business.** For all property transported by a business other than a general cargo business (that is, a business handling the shipment by water of property or commodities owned by the holder of this franchise or one of its affiliates, or being purchased or sold by the holder of this franchise or one of its affiliates) a rental based upon the quantity of the shipments made and to be an amount not more than fifty percent (50%) of the then current tariff wharfage rate of the Authority on the same type of property or commodity.

An "affiliate" as used herein means each entity which, directly or indirectly, controls or is controlled by or is under common control or ownership with the holder of this franchise.

Grantee, its successors and permitted assigns, shall keep and maintain a complete and accurate set of books and records showing all commodities shipped over, and to or from, any dock or docks constructed by the Grantee, its successors or permitted assigns, on the Grantee's Land in order that the Authority may ascertain therefrom what rentals are due to the Authority from Grantee hereunder, and such books and records shall be subject to the inspection of the Authority, its agents and attorneys, at any and all reasonable times.

The rental payable hereunder shall be paid to the Authority at its offices in Corpus Christi, Nueces County, Texas, and shall be payable at such reasonable time or times as the Authority may direct by written notice to Grantee and by general rule or regulation which shall be applicable to all persons or parties holding permits or franchises similar to this franchise.

SECTION 4 **CONDITIONS**

This franchise is granted with reasonable conditions for the protection of the Authority and its property and the property of its tenants, to-wit:

- A. **Hazards.** Grantee will at all times conduct its operation so as not to create any unusual fire or health hazard and will keep the premises neat and clean.
- B. **Railways.** Grantee will not for itself or for others, except with the consent of the Authority, build or operate a railway terminal for use in connection with the exercise of the rights granted by this franchise; provided, however, that Grantee may build or use spur railroad tracks in connection with its business and the exercise of its rights under this franchise.

- C. **Plans.** Before constructing any structure or commencing any work (including dredging or filling of submerged areas) on Grantee's Land or the Authority's submerged land lying between the Channel and the South Bulkhead Line for which a U. S. Department of the Army permit is required and before filing application for any such permit, Grantee will submit plans of such structure or work to be undertaken to the Authority for its approval. Authority shall not refuse to approve such plans without good cause. Grantee shall file with the Authority a copy of any permit or license it obtains from any governmental agency in connection with any construction or work described in this Section 4, and any documents placing conditions on or amending them in any way.

To facilitate the Authority's review of the plans, Grantee shall submit two (2) sets of formal plans that clearly define the project. The drawings must be prepared in a standard engineering format (24" x 36" drawings) and show all physical features and improvements in and around the project site and must be signed and sealed by a Professional Engineer registered in the State of Texas. In addition, a detailed site plan (minimum 1" = 50' scale) depicting the location and physical layout of the project site and any area to be dredged, adjacent docking facilities, property lines, federal channels, bulkhead lines, existing channel depth elevations, etc., must be included with the formal plans submitted. The site plan must clearly show the bottom of cut line and top of slope line of any planned dredging. If any dredging is planned by Grantee that will, in Authority's judgment, based upon customary dredging operations, result in removal of a substantial quantity of earth or material from, or damage to, adjacent real property, Grantee must obtain the written permission of the adjacent property owner to carry out such dredging for the project and submit it to the Authority with the formal plans.

- D. **Compliance.** Grantee shall perform all construction or work described in this Section 4 in conformity with applicable building codes and all applicable federal, state and other governmental laws and regulations; and Grantee must comply with any applicable provisions of the code of the National Fire Protection Association.
- E. **Slips.** Grantee's slips along the South Bulkhead Line shall be maintained by Grantee at a depth sufficient to prevent vessels berthed at the docks there from striking bottom due to lowering of the water level from passing vessels or seasonal low tides.
- F. **Pollution.** Grantee shall take all reasonable precautions to prevent the pollution of the Channel and shall faithfully observe all regulations adopted by the Authority to prevent the discharge of pollutants into the Channel. Grantee shall also comply with all state and federal laws and regulations and municipal ordinances relating to maintaining water quality in the Channel, and will file with the Authority copies of all permits received by Grantee relating to water quality to the extent relating to its activities hereunder.

- G. **Rules and Regulations.** This franchise shall be subject to such reasonable rules and regulations as the Authority presently has in effect or may invoke in the future which apply to all individuals or entities holding similar franchises granted by the Authority.

SECTION 5 **INDEMNITY**

Grantee shall defend, indemnify and hold harmless Authority from all expense and liability for, and resulting from, the sole, joint, concurrent, or comparative negligence of Grantee, its agents or employees (collectively, "Grantee Parties"), in connection with the exercise by Grantee of the rights and privileges granted herein (each an "Indemnified Claim"); provided, however, to the extent an Indemnified Claim arises out of the joint, concurrent, or comparative negligence of the Grantee Parties and the Authority, then Grantee's obligation to the Authority shall only extend to the percentage of the total responsibility of the Grantee Parties in contributing to such Indemnified Claim.

SECTION 6 **DEFAULT**

In the event of default of Grantee in the performance of any of the terms and conditions herein stipulated to be done by it, or required of it under any valid law, rule or regulation of the government of the United States of America or the State of Texas, and in event such default continues for sixty (60) days after the Authority has sent a written notice by registered or certified mail to Grantee at its Corpus Christi business address, advising it fully of the kind, nature and extent of such default, this franchise shall be subject to forfeiture at the instance of the Authority by suit in a State District Court located in Nueces County, Texas.

SECTION 7 **MUTUAL CONVEYANCE**

The rights and privilege of Grantee and the Authority arising out of that certain mutual conveyance dated June 3, 1948, of record in Volume 400, pages 479 through 487, Deed Records of Nueces County, Texas, executed by the Nueces County Navigation District No. 1 and by Elizabeth Prior Roark ("Mutual Conveyance"), are hereby expressly recognized and confirmed and in no wise abridged, lessened or diminished by the granting of this franchise and its acceptance by Grantee or by any surrender, cancellation or forfeiture of the same.

SECTION 8 **ASSIGNMENT**

Grantee may, with the prior written consent of the Authority, assign Grantee's rights and obligations under this franchise to any individual or business entity that leases or otherwise has the right to use Grantee's Land, but Grantee shall not be released thereby from any obligations and duties assumed hereunder by such lessee or user.

Grantee may, with the prior written consent of the Authority, assign this franchise to any individual or business entity that purchases or otherwise acquires title to all of the Grantee's Land. Any such assignee of this franchise, shall file written evidence of such assignment and of assignee's acceptance of the same in the office of the Authority. If Grantee assigns this franchise in accordance with the terms and conditions of this paragraph, Grantee shall be released from any further obligations and duties hereunder only insofar as such obligations and duties arise from and after the effective date of such assignment, it being specifically understood that any such assignment shall not have the effect of releasing Grantee from any obligations or duties hereunder which may have accrued at any time prior to the effective date of such assignment.

If Grantee sells, assigns, or transfers title to only a portion of the Grantee's Land (the "Transferred Land"), this franchise shall automatically terminate with respect to the Transferred Land, and the new owner thereof shall not have the right to access the Channel from the Transferred Land until such time as the new owner has received a new permit or franchise from the Authority for such purpose in accordance with the terms of the Mutual Conveyance described in Section 7 of this franchise.

Grantee shall have the right to convey this franchise by mortgage, deed of trust or any other security instrument. If Grantee shall be in default of any of the covenants or conditions of this franchise, the holder of the mortgage, deed of trust or other security instrument may, before forfeiture is invoked by the Authority, make any and all payments and do and perform any and all acts or things which may be necessary to prevent a forfeiture of this franchise and the party making such payments or performing such acts or things shall thereby be subrogated to all rights of the Grantee under this franchise. The Authority agrees that if the holder of any mortgage, deed of trust or other security instrument delivers a copy of such instrument to the Authority, together with the address to which it desires notices to be sent, the Authority will send to the holder at the address specified copies of all written notices to be served on Grantee under and pursuant to the terms of this franchise. It is understood that the mortgagee, trustee and beneficiary of any security instrument shall in no way be liable to the Authority for any payments or for the performance of any other covenants and conditions of this franchise until such time as it shall acquire by assignment or conveyance from Grantee or by foreclosure or other proceedings provided by law or by the terms of the security instrument all the right, title and interest of Grantee under this franchise; provided, however, that any party who shall acquire said right, title and interest of Grantee, as above provided, shall thereby become liable for all payments and the performance of all other covenants and conditions theretofore and thereafter required to be made by Grantee under the franchise, as fully and to the same extent as if Grantee itself would have been if it still had retained its right, title and interest hereunder.

SECTION 9

GENERAL

All covenants, conditions and agreements of this franchise shall apply to and be binding upon the Authority and Grantee and their respective legal representatives, successors and permitted assigns (when assignment is made in accordance with the provisions hereof). This franchise is made under the applicable laws of the State of Texas and if any term, clause, provision, part or portion of this franchise shall be adjudged invalid or illegal for any reason, the

validity of any other part or portion hereof shall not be affected thereby, and the invalid or illegal portion thereof shall be deleted and ignored as if the same had not been written herein. If any of the rights and authorities granted hereunder are in excess of the authority of the Authority, then the rights and authorities shall be limited to such as the Authority is authorized to grant, under the applicable laws. The failure of Grantee or of the Authority to insist upon the strict performance of any of the covenants and conditions of this franchise, or the consent, either express or implied, of either party hereto to any act or omission by the other party in breach or default hereof, shall not be deemed or construed to be a waiver of any such covenants or condition except for that particular instance only and shall not constitute or be construed as a waiver of such covenant or condition or of any further or future breach or default thereof. The expense of publishing this franchise as required by law shall be borne by the Grantee.

SECTION 10 **PASSAGE, PUBLICATION AND ACCEPTANCE**

A majority of the Authority's Port Commissioners voted to grant this franchise at meetings of the Port Commission held on August 10, 2010, September 14, 2010, and October 12, 2010, and the final form of this franchise was approved at the last of these meetings. This franchise shall not become effective until it has been published in full in its final form at the expense of Grantee once a week for three consecutive weeks in the *Corpus Christi Caller Times*, a daily newspaper of general circulation published inside the boundaries of the Authority (the "Publication Requirement"). Grantee must file its written acceptance of this franchise with the Authority within thirty (30) days after the date on which this franchise was finally approved by the Authority's Port Commissioners, and such written acceptance shall be duly acknowledged by the person or persons executing the same (the "Acceptance Requirement"). The effective date of this franchise ("Effective Date") shall be the first day of the first calendar month after the date on which both the Publication Requirement and the Acceptance Requirement have been satisfied.

[The Authority's signature page follows this page]

ACCEPTANCE OF GRANTEE

Valero Refining – Texas, L.P., hereby accepts the above and foregoing franchise covering 7.03 acres of land, which was granted to it by Port of Corpus Christi Authority of Nueces County, Texas, and further agrees that Valero Refining – Texas, L.P., its successors and permitted assigns, shall in all things be bound by the terms and conditions of said franchise.

EXECUTED this 10 day of ~~October~~ ^{November}, 2010.

VALERO REFINING – TEXAS, L.P.

By: Valero Services, Inc.,

Its General Partner

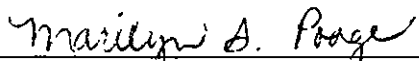
By: 

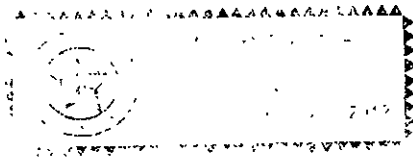
Printed Name: Martin Loeber

Title: Vice President

STATE OF TEXAS §
 §
COUNTY OF BEXAR §

This instrument was acknowledged before me on the 10th day of ~~October~~ ^{November}, 2010, by Martin Loeber, Vice President of Valero Services, Inc., the general partner of Valero Refining - Texas, L.P., on behalf of said partnership.


NOTARY PUBLIC, STATE OF TEXAS



ATTACHMENT B

ATTACHMENT C

BEFORE THE
FEDERAL MARITIME COMMISSION

VALERO REFINING - TEXAS, L.P.	)	
Complainant	)	
v.	)	FMC Docket No. 11-18
	)	
PORT OF CORPUS CHRISTI AUTHORITY	)	
OF NUECES COUNTY, TEXAS	)	
Respondent	)	

Declaration of Captain Anthony Alejandro

I, Anthony Alejandro, under penalty of perjury under the laws of the United States of America, declare that the following statements are true and correct:

1. My name is Anthony Alejandro. I am the Director of Operations and Harbormaster at the Port of Corpus Christi (the "Port"). I have held this position since January 1, 2010. I served as Deputy Director of Operations for 12 years before assuming my current position. I have worked for the Port for over 18 years.
2. I am a graduate of the United States Coast Guard Academy and served as a career Coast Guard officer rising to the rank of Captain. I served as the senior Coast Guard Officer, known as the Captain of the Port, at the Port of Houston, TX and at the Port of Corpus Christi, TX.
3. I make this Declaration in support of the Port of Corpus Christi's position that the Port does not have any service by a common carrier.
4. The Port of Corpus Christi handles three main groups of cargo:
 - (a) crude oil, petroleum products and chemicals that are discharged or loaded in bulk, without mark or count, from/to tankers and barges at the Port's public and private oil docks constitute approximately 85% of the cargoes handled at the Port during the last three years. These cargoes are discharged or loaded from/to tankers and barges which do not hold themselves out to the general public; they

generally carry a single cargo for one shipper and one consignee. The vessels do not run on regular routes or schedules. Their sailings are not advertized.

(b) dry bulk cargoes and bulk grain cargoes which are generally full shiploads of grain or other non-liquid bulk cargoes that are carried without mark or count and which are loaded or discharged at the grain elevator or the dry bulk cargo docks constitute approximately 12 to 15% of the cargoes handled at the Port during the last three years. Dry bulk vessels do not hold themselves out to the general public and they generally carry one cargo for one shipper and one consignee. The vessels do not run on regular routes or schedules. Their sailings are not advertized.

(c) breakbulk cargo which includes general cargo and military shipments together constitute approximately ½ of 1% of the cargo handled at the Port over the last three years.

(1) The military cargoes are loaded or discharged by vessels under the control of the Military Sealift Command. These vessels are generally time chartered to the MSC and are operated solely to carry cargoes for the military. The vessels are not held out to the general public. The sailings are not advertised.

(2) general cargo vessels that are loaded or discharged at the Port's general cargo docks.

At my request and under my supervision, my staff has studied the general cargo vessels and the commodities loaded or discharged at the Port from or to such vessels for the three years prior to September 2, 2011.

The study shows that every general cargo vessel that called at the Port either discharged cargo or loaded cargo. We could not find a single general cargo vessel that discharged cargo and loaded cargo during its call at the Port. The cargoes handled were breakbulk cargoes that did not move in containers and which were generally being delivered to a single consignee or being loaded for a single shipper. The commodities handled were limited: by far the largest in volume were wind turbine components that were discharged at the Port. Another significant cargo being discharged at the Port has been ceramic proppants which are ceramic beads, each about the size of a grain of sand, that are used in oil well fracturing. Proppants are shipped in 3,300 pound super

sacks. Oil well equipment, including rigs and pipe is loaded from time to time into vessels that call specifically to pick up such cargo at the Port.

Every general cargo vessel that called at Corpus Christi has been assigned a berth on a first come, first served basis. The Port has no agreements to provide any vessel a preferential berth at a specific time. As far as I can ascertain, not one of the vessels that called at the Port was held out to the general public to load or discharge cargoes at the Port. I have not found any advertizing of service to or from the Port in newspapers, the trade press or on the Internet. If the Port is mentioned on a vessel operator's website, like that of Industrial Maritime Carriers, it states Corpus Christi would be served "on inducement."

5. The Valero Complaint alleges in Paragraph II.C that certain named vessel operators are common carriers serving the Port of Corpus Christi. We have compared the names of the companies listed in Paragraph II.C with vessels that called at the Port's general cargo docks for the three years prior to September 2, 2011, and found the following:

Green Chartering AS or Green Reefers has had no vessels call at the Port of Corpus Christi in the three years prior to September 2, 2011.

SCM Lines - Transportes Maritimos LDA had two vessels that made five calls at the Port of Corpus Christi in the three years prior to the filing of the Complaint. On each call the vessel discharged cargoes of ceramic proppants for a single consignee and loaded no cargoes.

Grieg Star Shipping had thirteen calls during three years by eleven different vessels during the three years prior to September 2, 2011. Ten of the vessels discharged wind turbine components for a single consignee; the other three vessel calls discharged ceramic proppants for a single consignee. No cargo was loaded during these calls.

Westfal-Larsen Shipping had one vessel call in May, 2010. The vessel discharged wind turbine components for a single consignee.

Chinese-Polish Joint Stock Shipping Co. made a total of four calls during the three year period: one vessel discharged steel coils, another discharged project cargo and two discharged wind turbine components for a single consignee.

BBC Chartering and Logistics GmbH & Co. KG had 21 different vessels make 29 distinct calls at Corpus Christi at the general cargo docks in the three years prior to September 2011. With the exception of one vessel that loaded drilling rig parts

from a single shipper, one vessel that loaded wind turbine components from a single shipper and two that loaded unspecified commodities for a single consignee, each BBC vessel discharged a single commodity for a single consignee. All 25 of these vessels calls discharged wind turbine components for a single consignee.

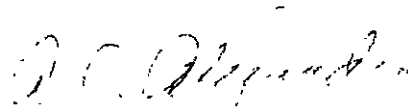
Industrial Maritime Carriers had nine vessels that made fifteen calls at Corpus Christi general cargo docks in the three years prior to September 2, 2011. With the exception of two vessel calls that loaded drill rig parts or project cargo for a single shipper, all other vessels discharged wind turbine components for the same consignee.

All of these vessels were provided berths on a first come, first served basis. All of the cargoes were break bulk cargoes. Vessels that discharged cargo did not load cargo during the call. Vessels that loaded cargo did not discharge cargo during the call. There was no service pattern or schedule to the vessel calls. I am unaware of any advertisements made for or on behalf of any of the companies alleged by Valero to be common carriers.

6. I am familiar with the characteristics of common carriage and it is clear to me that there is no common carrier service calling at the Port of Corpus Christi. None of the vessels carried cargoes to or from Corpus Christi for more than one consignee or shipper per vessel call; vessels that discharged did not load cargo during the same call and vessels that loaded cargo did not discharge cargo during the same call. As far as we can determine, none of the voyages were advertized and the vessel calls were irregular and sporadic.

7. If I were asked to describe the general cargo vessels that call at the Port, in light of the facts of which I am aware, I would categorize all of them as ocean tramps who came to Corpus Christi on inducement for the purpose of discharging or loading a single shipment of a specific commodity.

Executed this 27th day of November, 2011.



Anthony Alejandro